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TOPIC 1: Company Officers

- i. Directors**
- ii. Company Secretary**
- iii. ‘Auditors’**

Management of Company and Status of Directors

A company is an artificial person and cannot manage its own affairs. It is therefore the practice that since the law gives it human attributes, there must be someone to perform such duties.

The control and management of a Company is usually undertaken and distributed among the principal organs of the Company: General Meeting, Managing Director, and Board of Directors. Hence, directors are persons to whom the management of the company is entrusted.

A director is defined in law according to what they do, rather than their actual job title. Even a person not formally appointed to the board might be deemed a director if their role could be considered equivalent to that of a director, or if they have acted as a director. This is known as a de facto director.

Definition of Director: S. 2 Companies Act 2012 “includes any person occupying the position of director by whatever name called and shall include a shadow director”. Also defined under S. 132(5) for accounting purposes to “include any person in accordance with whose directions or instructions the directors of the company are accustomed to act.

Definitions described as vague and

inadequate. Who are they to a company”

trustees or agents?

- i) Gower in Principles of Company Law 4th edition (pp. 571-572) said:
“to describe directors as trustees seems



today to be neither strictly correct nor invariably helpful ... in truth, directors are agent of the company rather than trustees of it or its property. But as agent they stand ... in a fiduciary relationship to their principal, the company”

- ii) Palmer and Lindgren are of the view that analysis of the theoretical status of director demonstrate that they are not properly classified either as agent or trustees, but are *sui generis* ... like the shareholders in general meeting, that the Board of Directors is a constitutional organ of the company.

Bakibinga concluding on the difficulty of classifying directors observes that since they act for the company, they must necessarily be agent of that company but conceded that because of the artificial nature of the principal, it is difficult to discern the normal agency-principal relationship.

If they are agents, who control them when in reality, they control the company.

If the shareholders are the principals, the directors are not necessarily subject to the wishes of the majority.

If they are trustees, do the rules applicable to a trustee apply to them? E.g. a trustee is the legal owner of the *res*.

According to Palmer, they are only deemed trustees if they misapply the company's property.

The position of Palmer and Lindgren may be preferred according to Bakibinga, that the position is *sui generis* who stand on equal footing with shareholders in general meeting within the corporate structure and they possess powers and duties whose exercise may procedurally render them

agents or trustees of the company.



Types of Directors

There are many types of directors depending on jurisdiction. Notable among them are:

De jure directors

A de jure director is a director who is formally appointed and registered as a director with the registrar of companies.

De facto director

A de facto director is not formally appointed but carries out all the duties of and makes decisions as a director. He may also sign company documents and be treated as a director by the other directors.

Shadow director

A shadow director is a person whose instructions and decisions the other directors accept and implement unlike a de facto director he may not carry out those actions himself. A shadow director often acts behind the scenes, which may be because there is a reason why they cannot be formally appointed.

Differences between de facto and shadow directors

The major differences between a de facto director and a shadow director are outlined in the official transcript of **Ultraframe (UK) Ltd v Fielding and others**. The relevant paragraphs are numbered 1254 to 1263. A person may be both a de facto and a shadow director at the same time. Whether a person who was appointed a director of a company which was a corporate director of another company could be considered a de facto director of the

second company was analysed in a more recent case, **Revenue and Customs Commissioners v Holland and another**

[2010] 1 W.L.R. 2793



Nominee director

A nominee director is usually nominated by a shareholder and may be a de jure or de facto director. A shareholder, or other person or body, may appoint a nominee director to represent their interest on the board of directors. Such an appointment, if not a de jure director, would allow the shareholder, or other person or body, to change their nominee without the need to file details with the registrar of companies. However, a nominee director, whilst allowed to take into account the interests of his/her nominator, must act in the best interests of the company.

Non-executive director

A non-executive director is usually appointed for some specific expertise, often works part-time and questions the decisions of the executive director(s).

Executive and managing directors

An executive director is responsible for the day to day running of the company. A managing director is a position created and filled by the board of directors. The managing director is the most senior position in the company and is generally responsible for its day to day management.

Appointment of Directors

Under the Companies Act 2012, S. 185, every public company registered under the Act must have at least two directors and others must have at least one, except a company having only one director, such a director cannot also act as the Secretary of the Company. See S. 187 (1).

Generally, the appointment of directors is regulated by the Articles of

Association of the company.

Appointment of First Directors



A statement of the first directors and secretary must be delivered during the company's registration process. They are usually appointed by the subscribers to the Memorandum of Association. Statement must contain their signed consent to act in their relevant, capacity.

Upon incorporation, they are deemed to have been appointed as its first directors and secretary.

Appointment of Subsequent Directors

The Articles of the company also normally regulate the appointment of subsequent directors. Usual method of appointment is by an ordinary resolution in a general meeting.

S. 194 provides that the appointment of directors (Public Companies) must be voted on individually. The Section provides “(1) At a general meeting of a company other than a private company, a motion for the appointment of two or more persons as directors of the company by a single resolution shall not be made, unless the resolution has first been agreed to by the meeting without any vote being given against it.

Directors must be elected on their individual merits.

A director need not be a natural person, a corporation may be so appointed, this being found useful to enable a holding company to maintain complete control of a subsidiary.

Casual Vacancies

A casual vacancy is one which occurs between general meetings e.g. due to the death, removal or resignation of a director. Companies Acts under Table A empowers the board to fill casual vacancies and to appoint

additional directors up to a maximum specified in the company's directors.



A person appointed by the board holds office until the next AGM. He will then be eligible for re-election. His appointment won't be considered in determining who will retire by rotation.

Persons who may not be appointed directors

A person declared bankrupt or insolvent by a competent court in Uganda

It's a criminal offence for an undischarged bankrupt to act as a director without permission of the court. **See S. 200.**

When a disqualification order is made, a person may not act as a liquidator, director, administrator, receiver or manager without the courts permission. He is also not allowed to participate in the promotion, formation or management of the company

Disqualification by Court

A person disqualified by court because of his conduct as a director is not yet eligible to manage the company. This could be his conduct in isolation or taken together with his conduct as a director of another company. **See generally S. 201.**

Vacation of office

The office of the director may be vacated by:

- Death of the director
- Dissolution of the company
- Retirement of the company
- Retirement by rotation
- Table A states that at each AGM, one third of the directors shall retire.

- Those who retire are those who have been longest in office.

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- Retiring directors are eligible for re-election.

Removal of a Director

A company can remove a director by ordinary resolution despite anything in the articles of association or the agreement by the directors. This is not applicable in the case of a private company who was appointed to hold office for life before the commencement of the Act.

Special notice must be given of any resolution to remove a director.

On receipt of this notice, the company must send a copy to the director and the director shall be entitled to be heard and if he submitted a representation, a copy of the representation must be circulated to every member of the company who received the notification of intention to remove the director.

Where a representation was received late and hence not circulated, the director may require that it shall be read out at the meeting.

The director so removed may be entitled to compensation or damages. See generally S. 195.

Disqualification of a Director

S. 199 provides for the disqualification of directors.

A person will be disqualified from acting as a director for a period of 3 years if he/she fails to:

- i. Keep proper accounting records
- ii. Prepare and file accounts
- iii. Send returns to the registrar

iv. File tax returns and pay tax, or

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v. Allows a company to trade while insolvent.

Effects of Disqualification

S. 199 (2) states that a person disqualified as a director shall not:

- Be a director of any company
- Act as director before the expiry of the disqualification period
- Influence the running of the company through the directors.
- Be involved in the formation of a new company.
- Act in a way that promotes a company.

Remuneration of Directors

Directors are in principle not regarded as servants of the company but its controllers

hence not entitled to remuneration unless provided for in the articles of association. See

Hutton v. West Cork Rail Co. (1883) 23 Ch. D 654; Moriarty v. Regent's Garage Co. Ltd

(1921) 1 KB 423.

Company's articles usually indicate that directors shall be entitled to such remuneration as shall be determined by the company in general meeting by resolution.

A director is entitled to sue for the remuneration which the company has agreed to pay him and may even prove that in a winding-up.

The articles may provide for directors to be paid a fixed sum per annum. However, in order to sue for such sum, the directors must prove

the existence of a contract with the company. In this case, provisions in the articles may not be



sufficient although an implied contract might be inferred on the basis of the articles. **See Re: New British Iron Co. (1898) 1 Ch. 324 p. 326 per Wright J.**

Powers of Directors

Relationship between the Board and the Company

The extent of directors' powers is defined by the articles.

Table A provides that the company shall be managed by the directors who may exercise all the powers except such to be exercised by the company in general meeting.

If shareholders don't approve the director's acts, they must either remove them or alter the articles to regulate their future conduct. Shareholders can't take over the functions of the directors.

For the relationship between the Board of Directors and the members in general meeting see the following cases:

1. Automatic Self-Cleansing Filter Syndicate Co. v. Cunnighame (1906) 2 Ch. 34

2. Gramophone and Typewriter Ltd v. Stanley (1908) 2 KB 89

In ***Scott v. Scott (1943) 1 All ER 582***, the company in a general meeting resolved firstly to pay dividends to shareholders and secondly that the financial affairs of the company be investigated of accounts. These powers had been conferred upon the directors. It was held that the resolutions were invalid as they usurped the powers the articles had vested in the directors.

For a fuller discussion see Bakibinga, Company Law **11** in Uganda
pp.112

-118.



Managing Director

Although most of the powers of the company have been given to the General Meeting and the Board by law, in practice the Board usually delegates it power to the Managing Director.

Table A states that the Directors may appoint one of their members as managing directors on terms as they think fit.

A Managing Director has no settled functions by law. His powers and duties are on his service agreement. **In *Harold Holdsworth & Co. (Wakefield) Ltd v. Caddies* (1955). 1 WLR 352 (H.L)** the Service Agreement of the Managing Director of a holding company provided that he should perform the duties in relation to the business of the holding company and its subsidiaries as should be assigned to him by the board of the holding company. After policy disagreement the board directed him to confine his attention to the business of one of the subsidiaries. Held: This was not a breach of his service agreement even though he had been deprived of the power the company which was employing him.

The managing director is not subject to retirement. **In *Southern Foundries v. Shirlaw* (1940) AC 701 (HL)** it was held that there was an implied undertaking in the contract of service of a MD for a given period that the company will not during that period revoke his appointment as director and will not resolve that his tenure of office be determined. His appointment as managing director ceased automatically when he's no longer the director.

Duties of Directors

Directors have the following common law duties;

The duties of a director are determined by statute, common law, the constitution of the company, i.e. its articles of association, contracts of employment or service agreements and the decisions of shareholders.



The duties of a director as determined by common law (fiduciary duties) include acting in good faith and in the best interest of the company as a whole.

A director has a duty to ensure the company acts as a separate legal entity and not just for the benefit of the members.

The director must exercise his/her powers for the proper purpose, e.g. to issue shares to raise capital rather than to avoid a takeover.

A director should avoid conflicts of interest. The director must not place themselves in a position where his/her personal interest conflicts with their responsibility to the company. For example, depriving a company of an asset or resigning as a director to take advantage of an opportunity arising from their former directorship.

A director is also under a duty not to make a secret profit or to misapply company property.

A director must manage the company in accordance with its constitution and the relevant statute.

The duty to act bonafide and for the benefit of the company as a whole. This means that the directors must consider the interests of the present and future members of the company. They must view the company as a going concern and balance this long term view against the interests of the present member.

Section 198 provides for the duties of directors namely;

To act in a manner that promotes the success of the company's business.

The directors are under a duty to act in such a way as to promote the success of the company for the benefit of its members as a whole. In achieving this objective, the directors should consider the likely long-term consequences of any decision, the interests of employees, the company's business relationships with suppliers,



customers and others, the effect of the company's business on the community and the environment, the need to maintain a reputation for high business standards and the need to act fairly as between members of the company. **See Brady v. Brady Brady Vs. Brady (1998)** Nurse LJ held that though the interests of a company as an artificial entity cannot be distinguished from the interests of persons interested in it its desirable to maximize the company's size, profitability, number of employees or any other business objective for the company's success.

To exercise a degree of full skill and care as a reasonable person would do looking after their own business. The statutory duty to exercise reasonable care, skill and diligence was a common law requirement subject to the test of reasonableness. However, the test was, at least in part, subjective. Here a director is therefore expected to display the care, skill and diligence exercised by a reasonably diligent person carrying out the same functions. The Act also takes into account the general knowledge, skill and experience that he/she possesses. A director with more experience, skills and knowledge will need to exercise greater levels of care, skill and diligence to meet the standard. **See *Re: City Equitable Fire Insurance Co. (1925) Ch 407***

To act in good faith in the interest of the company as a whole. Section 198

(c) then elucidates good faith as treating all shareholders equally, avoiding conflicts of interests, declaring any conflicts of interest, not making personal profits at the company's expense, non acceptance of benefits that will compromise him from third parties.

A director must not misuse corporate information or opportunity. **In *Industrial Development Consultants v. Cooley (1972) 1 WLR 443***, the

defendant, an architect, was employed by the Plaintiff while negotiating a contract, he realized that the contract wouldn't be awarded to IDC (the Plaintiff), he thus terminated his contract with the Plaintiff on account of an alleged illness and obtained the contract with the gas board. The IDC claimed the profit he had made. See however *Peso Silver Mines v. Cropper* (1966) S.C.R 673



Section 198(d) provides for the director's duty to comply with the Act and any other law.

The duty of the directors is to the company

Gower, principle of modern company law states that directors owe their duties to the company but not individual shareholders or employers. **In *Percival v. Wright (1902) 2 Ch 421***, the directors purchased shares from their members without revealing that negotiations were ongoing for the sale of the company's undertaking at a favorite price.

Held: The directors weren't in breach of duty through their non-disclosure.

The duty of directors to individual shareholders. This duty arises where directors place

themselves as against shareholders individually. This is one of the established legal relationships to which fiduciary duties are attached. **In *Coleman v. Myers (1977) 2 NLR 225*** Court held that a fiduciary duty of disclosure arose even in the absence of agency in the case of a small family. A company where there was a great disparity of knowledge between the directors and the shareholders and where the shareholders of a company had relied on the directors for advice and information.

The secretary

Section 187 provides for a company secretary. A sole director is prohibited from being a secretary.

The secretary is appointed by the directors on such terms as they think fit. The directors may also remove the secretary.

Qualifications

These depend on the type of company or venture.



Section 190 provides for the qualifications of company secretaries.

The directors must take all reasonable steps to ensure that the secretary is a person who appears to them to have the requisite knowledge and experience.

For a public company, he must be an advocate of the High Court, or is a member of the institute of chartered public accountants in Uganda, the institute of chartered secretaries and administrators.

Powers

The secretary is the company's chief administrative officer.

He has ostensible authority to make contracts on the company's behalf like; hiring office staff, contracts for the purchase of office equipment and hiring cars for business purposes.

However, a secretary doesn't have authority to do the following:

- i. Borrow money on the company's behalf
- ii. Issue a writ or lodge a defence in the company's name.
- iii. Register a transfer of shares
- iv. Strike a name off the register of members
- v. Summon general meeting on his own authority

Duties

The secretary has the following duties:

Ensure that the company's documentation is in order. That the requisite

returns are made to the companies register

Taking minutes in meetings



Sending notices to members and countersigning documents to which the company seal is affixed.

Auditors

An auditor is a person appointed to audit or check the company accounts

The audit is a check on the activities of the directors and the company officers.

It gives confidence to shareholders that their investments aren't being mismanaged or misappropriated.

Appointment of auditors

This is provided under **section 167**. Every officer must appoint an auditor to hold office from the conclusion of that general meeting until the conclusion of the next annual general meeting.

The registrar has powers to appoint an auditor where at an annual general meeting, no auditors are appointed or re appointed.

Section 169 provides the grounds who aren't eligible for appointment as auditors namely; officer or servant of the company, a person who is a partner or is in the employment of the company's officer or servant.

A body corporate also can't be appointed as an

auditor. A retiring auditor may be reappointed

However, at any annual general meeting, a retiring auditor however appointed will be deemed to be reappointed without any resolution **being** passed.

Qualification of auditors

A person or a firm shall not be qualified to be appointed as an auditor of a company unless he is a person registered as an associate Accountant.



Or a firm each of whose partner is a member of the Institute of Certified Public Accountants of Uganda registered under the Accountants Act.

Duties of the auditor

To audit the company accounts including its annual balance sheet and profit and loss statement.

Prepare a report showing if reports have been well prepared and if they give a true and fair view of the company's accounts.

Carry out investigations to determine if proper accounting records have been kept and whether they comply with the entries.

Position of the auditor

A company auditor isn't an officer of the company as stated under section 2 Companies Act.

He is, however, an officer of the company for any tort, crime or misfeasance he commits in the course of his duties.

The auditor has to prepare an auditor's report to be submitted to the general meeting for consideration.

The auditor's report had to be open to inspection by any member.

Auditors are entitled to remuneration for their services to the company and is to be fixed by the person appointing him.

TOPIC 2: Minority Protection

- i. Personal Action**
- ii. Derivative Action**
- iii. Representative Action**

Minority Protection/Enforcement of Members'

Rights Introduction

Quite often a minority shareholder could find himself or herself in the precarious position of being locked into the company. In other words, the minority shareholder may be discontented with a decision made by the board of directors of the company or a decision by the majority shareholders.

The general rule is, the powers of the company rest in the board of directors and the general meeting. The minority members must accept the decision of the majority.

The majority is the one with authority (board of directors) while the minority have less authority (other members or shareholders)

Litigation by the Company: The Rule in *Foss v. Harbottle*

For long, it had been settled that where it is legally necessary to enforce as duty owing to the Company, the only plaintiff is the Company itself and not a member of the Company. This is notoriously called the **Rule in *Foss v. Harbottle (1843)***.

Facts: The Plaintiff (an individual shareholder) brought a suit against the directors of the company who had sold their own land to the company at a

higher value and kept the proceeds to themselves. So, the question before court was whether the members had a right to sue the directors. It was held that the courts could not entertain such a suit, because the wrong had been done to the company and not the shareholders.



The reality however, is that the Company is a fiction and the power to litigate on its behalf is vested in some person or group of persons.

It's been suggested that the **Rule in *Foss v. Harbottle*** “rests on the basic premise of majority rule, and control by the majority in general meeting of the use of the corporate name in litigation.”

It has however been argued that this rule is unfair especially where the company has acted through its agents, i.e. the officers and it is these officers that are in the wrong. Then how will they sue themselves?

In Ugandan jurisprudence, the Rule in *Foss v. Harbottle* was reiterated in ***Salim Jamal and Ors v. Uganda Oxygen Ltd and 2 Ors (1997)*** where Oder J cited ***Mor v. Wallersteinner (1975)*** and held that it's a fundamental principle of law that a company is a legal person with a corporate personality separate and distinct from its shareholders or directors and with its own property rights and interests to which alone it is entitled. If its defrauded by the wrong door, the company itself is the one person to sue for the damages.

The effect of the Rule in *Foss v. Harbottle*

The following should be clearly noted to understand the rule in *Foss v. Harbottle*. In case something injurious has been done to the company, the company is the proper

Plaintiff to bring an action and not the individual shareholder. The majority shareholders mean those who have power over the company. The majority does not mean those who are many in number

The minority are those who have less authority in the company, although they may be more in number. The rule reduces unnecessary suit/actions

against the company. Majority shareholders have the power to control the company in issue of decision making.



Enforcement of Members' Rights

This aspect of the law is concerned with the avenues through which shareholders/ members of a company can enforce their rights, e.g. payment of declared dividends, removal of incompetent directors, etc. A shareholder can do this under statutory law or under common law, as will be discussed subsequently.

Exceptions to the Rule in *Foss v. Harbottle*:

Personal Action

The Rule in *Foss v. Harbottle* greatly strengthens the position of the majority and if there were no exceptions, the minority would completely be in their hands. A number of exceptions were created, whereby an individual shareholder can go to court notwithstanding the fact that the wrong was committed against the Company:

ENFORCEMENT OF MEMBERS' RIGHTS UNDER COMMON LAW

A. PERSONAL ACTION

1. Where there is an *ultra vires*/illegal transaction by a company

Case: *Hutton v. West Cork Railway Co.* A railway company which had no provision in its articles for paying remuneration to directors, and had never paid any, sold its undertaking to another company at a price to be determined by an arbitrator. By the Act authorizing the transfer it was provided that on the completion of the transfer the company should be dissolved except for the purpose of regulating their internal affairs and winding up the same and of dividing the purchase-money. The purchase-money was to be applied in

paying the costs of the arbitration and in paying off any revenue debts or charges of the company, and the residue was to be divided among the debenture holders and shareholders. After the completion of the transfer a general meeting of the



company was held at which a resolution was passed to apply £1050 of the purchase-money in compensating the paid officials of the company for their loss of employment, although they had no legal claim for any compensation, and £1500 in remuneration to the directors for their past services. The Court held that the shareholder's action against the company was proper since the company was involved in *ultra vires* transactions.

2. Where majority shareholders are using company assets for their own self- gratification

Case: *Salim Jamal and Ors v. Uganda oxygen and 2 ors (1997)* it was held by the Ugandan Supreme Court that where a wrong has been done to a company, the minority shareholders can bring an action to stop its continuance or to recover the company's property, damages or compensation

3. Where there is a breach of the Articles of Association

If a breach of Articles takes place, any aggrieved shareholder can proceed to court notwithstanding that the company itself may have been prejudiced.

Case: *Hickman v. Kent (1915) 1 Ch 881.* The Court held that upon registration of a company, the articles of association create a contract between the members and the company breach of which entitles a member to a remedy. **In *Edwards***

v. Hallowell, the trade union and its executive committee members were sued for having used union dues by a resolution of a simple majority. It was held that a breach of the Articles by a company or any other shareholder can be challenged by any member without the restrictive effect of the rule in *Foss v. Harbottle*.

4. Where the individual member's personal rights have been threatened/ infringed

If the wrong complained of amounts to an infringement of the personal rights of a shareholder, he can petition under a personal action notwithstanding that it is the company that has been wronged. In *Misango v. Musigire* (1966) E.A. 390,



a general meeting purported to alter Articles of Association to the detriment of the plaintiff. It was also stated that some 9 shareholders had attended that meeting and voted in favour of the resolution. Sir Udo Udoma C.J, held that the action could be cancelled in so far as what was complained of infringed on the rights of the plaintiff.

5. Where the majority commits fraud, for example, the making of secret profits by the directors

Whenever it is established that the transaction complained of amounts to the fraud on the minority, then any aggrieved shareholder is free to go to court notwithstanding that the act is a wrong against the company. Examples of fraud that would affect the minority would be fraud that amounts to expropriation of company's property, or expropriation of member's property, etc.

Case: *Salim Jamal vs Uganda Oxygen Ltd (1997)*. Oder J - held that minority shareholders could bring in their own names against the company for the director's wrong doing provided it was always impossible to get the company itself to sue.

6. Interest of Justice

Courts are ready to entertain any action of a shareholder which falls outside the above exceptions if it is in the interests of justice e.g. in Daniel's case, a shareholder complained that the majority shareholders who were also directors negligently sold a company's plot of land to one of the directors at a price of

£120,000. The issue before the court was whether this suit should be maintained in light of the rule in *Foss v. Harbottle* since there was no allegation of fraud. It was held that the shareholders could maintain the

suit.

B. DERIVATIVE ACTION

A derivative action differs from a personal action in the sense that although a shareholder is allowed to sue personally, he is not suing on his own behalf but



on behalf of the company because the company itself is unable to sue for that wrong.

The rationale behind the principle is that when the people who have committed the wrong are the same people who are supposed to sue, they may not do it.

However, the courts have insisted that a derivative action should not be utilized as a means of side stepping the rule in *Foss v. Harbottle*. Therefore, the following conditions must be satisfied.

1. The action must allege fraud on the minority.
2. The company is being controlled by those who have committed the wrong and therefore are unable to sue for it.
3. The plaintiff is not suing on his own behalf or on behalf of the others but rather on behalf of the company.
4. The plaintiff must have "clean hands" i.e. not to have connived with company members.
5. It must be proved impracticable for the company to sue by itself.

C. REPRESENTATIVE ACTION

A legal action in which one or a few members of a class sue on behalf of themselves and other members of the same class.

A lawsuit brought by the shareholders of a company, on its behalf, for the enforcement of a corporate right.

This is a hybrid of the two actions above. In all the above actions, the plaintiff must have clean hands.

ENFORCEMENT OF MEMBERS' RIGHTS UNDER STATUTORY LAW

1. Winding up the Company Under the Just and Equitable Clause (S.222(f)) Companies Act,

1961:

A company can be wound up if it is just and equitable to do so. Before the shareholder can have the matter entertained under this section, he must satisfy the following conditions:

- a. He must petition the court that the company be wound up for just and equitable reasons.
- b. The petitioner must be a contributory. That is, he must be a shareholder who is liable to contribute to the assets of the company during its winding up.
- c. He must satisfy the court that although there is another remedy open to him, he is not acting unreasonably in not seeking that other remedy instead of winding up the company.
- d. The petitioner must satisfy the court that after the winding up, there will still be something tangible for sharing among shareholders - if the company is heavily indebted (insolvent) then **S. 222** cannot be invoked.

What kind of Wrongs can be Entertained Under the Just and Equitable Clause?

The following have been accepted as major grounds for winding up the company under the Just and Equitable Clause:

a. Deadlock between Directors who are also the only Shareholders:



In *Reyenidje Tobacco Co Ltd (1916) 2 Ch.426*; two directors who were also the only shareholders only communicated through a secretary. The directors hated each other such so much that the company had to be wound up.

b. Loss of substratum of the company (i.e. object for which the company was formed): Where a company was formed for an illegal or fraudulent purpose, it can be wound up under the just and equitable laws.

2. The Oppression Section

Where one of the members of the company is oppressed, the member can move court under the oppression sections. Here, the petitioner may be complaining about oppression not only to himself but also to other shareholders.

In the case of *Elder Vs Elder and Watson (1952) S.C 491*, the court defined oppression as a visible departure from the standards of fair dealing and the violation of the conditions of fair play on which every shareholder is entitled to rely. For one to rely on the plea of Oppression, he must satisfy the following grounds:

a. The petitioner must satisfy the court that although the facts justify the winding up of the company under **S. 222 (f)**, such winding up would be unfair to him. That as such he should be awarded a remedy under **S.211**, the oppression section.

b. Where the court is satisfied with the petition, it may make an order directing how the company's affairs are to be conducted in future or an order that the petitioner be bought out of the company. The order is for the petitioner only to be bought out but no other oppressed members.

c. The Petitioner must prove that the act being complained of is not an isolated event but a continuing process.



d. He must satisfy the court that the oppression is not only limited to himself but that also the affairs of the company are being conducted in an oppressive manner.

In *Re H.R. Hammer Ltd (1959) 1 WLR 62*, a father who gave gifts of shares to sons continued to run the company as his own and to disregard wishes of other shareholders and company directors and even resolutions of the Board of Directors. It was held that *oppression amounts to a conduct by the majority which is harsh, burdensome and wrongful*.

3. INSPECTIONS AND INVESTIGATIONS

These can be initiated either by the registrar or the members themselves.

a. Investigations by members may be initiated in 2 instances:

i. Applying to Court to Carry out the Investigations Under S.165.

Either 200 members or members holding at least 10% of the shares in a company with share capital or at least 20% of the members in a company without share capital may make an application to court for the appointment of competent inspectors for the investigations.

However, the applicants may be required to pay a deposit of shs 10,000/= before the investigations commence. They must also prove that they are not malicious.

The application will not be entertained if there are other remedies available. See the case of *Re Elyeza Bwambale Co. Ltd (1969) E.A 243*

ii. Using a Special Resolution

A special resolution may be passed that a court appoints competent

inspectors to investigate the affairs of the company **(S.166)**.

b. Investigations by the Registrar.



S. 164 - Where the registrar:

- a. Believes that the Company's Act's provisions have not been complied with.
- b. Believes that the books and documents of the company supposed to be filed do not reasonably disclose what they ought to disclose;

He may direct through a written order for the company to produce all relevant books and documents for investigation and inspection and if he feels dissatisfied he can make a report to court.

c. Investigations by Court

Under S. 166, the court may order for the appointment of inspectors to look into the affairs of the company if from the registrar's report either:

- i. The company's business is conducted in a fraudulent or unlawful or oppressive manner or members have not been given all the information they are entitled to.
- ii. Promoters or management are guilty of misfeasance.

D. MISFEASANCE PROCEEDINGS

This is another remedy open to a shareholder who wants to enforce a company's rights. He is not enforcing his own rights. **Under S.328**, a shareholder who is also a contributory can apply to court for an order to examine the conduct of promoters, directors, managers, liquidators and/or any company's officer or a member who has been guilty of misfeasance or breach of trust to the company.

There are 3 important limitations: -

The proceedings are only invoked during the winding up of the company. Receivers are not caught by **S.328** but liquidators and any other *defacto* officer is caught. The section deals with only the wrongs involving misappropriation of funds or property (pecuniary claims).



Where the proceedings are successful, the guilty officer may be ordered to pay/replace the funds/property or to contribute such sums of money as the company deems fit to the assets of the company. Such officer may also be liable to criminal proceedings. However, the officer concerned may be excused by relying on S.405 which stipulates that "an officer may be excused from breach of duty or negligence if he pleads that he was acting reasonably and honestly in the circumstances.



TOPIC 3: MEETINGS AND RESOLUTIONS

INTRODUCTION

A company meeting is a gathering of shareholders and other officers to address issues relating to the company.

A company should hold a general meeting subject to the Articles of Association.

The Companies Act also provides for statutory and extra ordinary meetings plus the procedures for calling for, conducting and adjourning meetings. Shareholders exercise their decision-making rights through shareholders' meetings.

The decisions of a properly constituted meeting of the company bind the company and its members. Every company must hold meetings in order to discuss issues relating to the company. **In *Irene Kulabako v. Malinga Ltd and 2 Ors (2010)*** Bamwine J. held that matters of managing a company are better resolved in the company boardroom where members normally express their wishes as to how the company affairs ought to be run. This is through voting for or against resolutions and the decisions of the majority normally prevail. **Case: Re: Associated Colour Laboratories (1970)** Court held that a meeting may be held by telephone or in different rooms with audio visual links between them.

Types of meetings

There are 3 types:

1. Statutory General Meeting
2. Annual General Meeting

3. Extraordinary General Meeting.



STATUTORY GENERAL MEETING

Section 2 provides that a Statutory Meeting is defined under section 137 (1) Companies Act.

Section 137(1) states a Company Limited by shares or by guarantee and having a share capital must hold a Statutory General Meeting.

Must be held between at least one month and not more than three months from the date the company is entitled to commence business.

The meeting is held only once. It is intended to review the activities of the promoters and directors during the formation or incorporation stage.

Section 137(2) requires the directors to forward a statutory report to every member of the company at least 14 days before the meeting is held. 21 days' notice should be given before the meeting is held.

Contents of the Statutory Report under section 137 (4)

The Statutory Report to be certified by at least 2 directors of the company

The names and particulars of directors, auditors if any, secretary and other officers of the company

Total number of shares allotted (paid and unpaid)

The total amount of cash received in respect of the allotment.

Abstract of receipts, payments, expenses of the company made up to 7 days before the date of the statutory report.

Particulars of any contract and modification of any contract to be submitted to the meeting for approval

The details of arrears if any due to the directors, the managing director or manager Names, postal addresses and descriptions of the directors, auditors, managers and secretaries of the company if any

The report as far as it relates to the shares allotted, cash receipt in respect of shares, receipts and payment of the company on capital to be certified as correct by the auditors is any under **section 137(5)**

The members present are free to discuss any issue relating to the formation of the company or arising out of the statutory report irrespective of whether notice on it has been given or not but no resolution may be passed if notice of it has not been given according to **section 137(8)**

Section 137(9) provides for adjournment from time to time if notice is given to the members. The statutory report shall be submitted to the registrar under **section 137 (6)**

Section 137 (10) imposes a fine of twenty-five currency points in case of a default in complying with the section on every director (who knowingly and willfully commits a default) and in the case of default by the company, on every officer of the company

ANNUAL GENERAL MEETING

It is the company's most important meeting. It is intended to provide information to the members regarding the business

Section 138 Companies Act states that the Annual General Meeting should be held each year

Section 138(1) provides that not more than 15 months shall elapse between the date of one annual general meeting and the next

The first general meeting shall be held within 18 months from the date of incorporation though not necessarily in the year of incorporation under section **138(3)**

A private company may hold an Annual General Meeting at the requisition of a member under **section 138(2)**

Directors have the responsibility of convening Annual General Meetings

The registrar may order the holding of a meeting upon the application of a member, director or on its own motion.

Under **section 138(8)**, default in holding the meeting under S.138(1) and **138(3)** attracts a fine twenty-five currency points default in complying with **section 138(4)** attracts a fine of 5 currency points.

Notice of the meeting must be given to the members

It must indicate the agenda, venue and time of the meeting. **The Annual General Meeting may consider;**

Consideration of the directors and auditors' report

Appointment of auditors and fixing their remuneration

Consideration of company accounts

Declaration of dividends

Other issues arising from the day to day running of the business

EXTRA-ORDINARY MEETING

Refers to a meeting which is not the Annual General

Meeting Also referred to as the “Emergency General Meeting”



Deals with issues which cannot be left pending until the Annual General Meeting

Section 138(1) states that a public company shall hold a general meeting in addition to any other meetings “Other meetings” means extra-ordinary meeting

An extra-ordinary general meeting may consider an alteration of the memorandum of and Articles of Association, an increase or decrease in the company’s share capital

Section 139 provides that notwithstanding anything in the Articles of the Company, directors shall convene an extra ordinary meeting on requisition of members not less than one tenth of the paid-up capital of a company and in the case of a company having no share capital, not less than one tenth of the members with voting right

Section 139(2) states that the requisition must state the objects of the meeting, be signed by the requisitionists and deposited at the company’s registered office

CONDUCT OF THE MEETING

The Board of Directors has power to convene the company’s general meeting

However, this must be in accordance with the Companies Act or the Articles of Association

NOTICE OF THE MEETING

Section 140 provides for a notice of 21 days in writing when calling for a meeting of the company

Section 141(a) provides that the notice of a company meeting shall be served on every member of the company in the manner under Table A

Notice must be served personally or sent to known addresses of all the members



Electronic form and website may be used where a member has agreed Short notice may be given if all the members have agreed Notice must contain the date, venue, time and agenda of the meeting

Must also contain a statement that a member is entitled to attend and vote or appoint a proxy if the Articles provide for voting by proxy

Proceedings are void when notice is sent to the wrong address or if it's given to a person not entitled to receive it **Case: *Greenvine College Ltd.*** The Applicant went to court for a declaration that all resolution purportedly passed by the company on the 15th August 2002 and 20th March 2003 were null and void as the meetings weren't properly held. **Held** - Kiryabwire J; Every general meeting shall be called by giving 21 days' notice in writing and notice has to be served or deemed to be served to such person entitled to receive it

AGENDA

This is integrated in the notice and circulated to the members before the meeting

Any comments to the agenda must be communicated to the Secretary or directors in a timely manner

ATTENDANCES AND PROXIES

Section 143 provides for proxies

A proxy is a person who is lawfully mandated to act for another in meetings He need not be a member of the company

He is entitled to vote and has the same right as the member to speak at the

meeting according to **section 143(1)**

A proxy votes in accordance with his or her appointer's instructions.



A member cannot appoint more than one proxy to attend on the same occasion under **section 143(2) (b)**

Section 143(2)(C) states that a proxy shall not be entitled to vote except on a poll.

A proxy cannot be appointed in case of a company with no share capital unless the Articles of Association say so.

A proxy must be appointed in writing and in a prescribed form

The proxy instrument of appointment must be clear and precise

The document must be delivered to the company before the meeting

A Proxy can be of such revocation before he acts on those instructions A revocation done after the meeting is nugatory

Attendance and voting of the appointer revokes the proxy

Death of the shareholder automatically revokes the proxy's authority

CHAIRMAN

Chairman is the chief authority and an umpire of the meeting

The Articles of Association provide for the appointment of the chairman.

Members can also elect one of them to be a chairman on a show of hands

The board chairman presides as chairman at every general meeting of the company

Duties of the Chairman



- To act in the company's interest
- To ensure that the meeting is properly constituted
- To ensure that the proceedings at the meeting are properly conducted
- Ensure that provisions of the Companies Act and the Articles of Association are properly observed
- Ensure that no discussion is allowed except when there is a specific motion before the meeting

Powers of the Chairman

- To demand for a poll
- To decide points of order
- To expel unruly members
- To adjourn the meeting
- To sign and date proceedings of the meeting
- To vote and if the articles provide shall have a casting vote

VOTING

This is by show of hands

Each member is entitled to only one vote irrespective of shareholding. The Articles of Association may however provide another way of voting. In case of a tie and the chairman has a casting vote, he is free to vote. A proxy may vote only on a poll.

A subsidiary company has no right to vote at the meetings of a holding company.

POLL

The chairman or the members may demand for a poll when an issue is disputed or controversial



Section 144 provides the right to demand for a poll

The chairman of the meeting is empowered to direct the mode of exercise of the poll

Section 145 provides for voting on the poll

QUORUM

Quorum is the minimum number of members required to be present so as to validly transact the business of the meeting

No quorum, no meeting

In *Dharamsy Morajke and sons ltd v. Suman Naresh Kara (1997)*

Karokoro JSC - held that the participation of 2 or more persons in the meeting of the director where the resolution not to transmit shares was reached didn't invalidate the director's decision since he alone formed the requisite quorum.

Quorum is usually fixed by the Articles of Association

Where it's not fixed, it's 3 for public companies and 2 for private companies

(S.141(c))

A Meeting is resolved if the quorum is not realized within half an hour from the date fixed

Rules relating to quorum

The proxy is not to be counted for purposes of quorum

Joint holders of shares are treated as one member for purposes of a quorum

One member cannot constitute a meeting except in class meetings where one shareholder holds all the preference shares



Where the registrar directs the calling of a general meeting, he can direct that one-member present who shall constitute a valid meeting

A representative of a company is a member and constitutes a quorum

Case: Seremba Mark Vs Isanga Emmanuel (2006), Kiryabwire J, found that Greenville

College Ltd had only one recognized and fully paid up shareholder and that it was impracticable to call a meeting of the company. The court exercised its discretion under **section 135 (now S.142)** on court's own motion to direct a meeting of the company the quorum of which shall be one. The meeting shall be called by the Registrar of Companies and at his office at the company's cost

Section 142 Companies Act now provides for the court's power to order a meeting

Minutes

These are the official written records of the proceedings of the meetings of the directors or shareholders of a company

Section 152 provides for a record of minutes of all general meetings and proceedings at meetings

Minutes which are confirmed and signed by the chairman can be produced in court as evidence Company minutes should:

- i. Be maintained or kept at the company's registered office under section 153
- ii. Be numbered consequently, dated and signed by the chairman or director

iii. Contain a fair and correct summary of each meeting including the names of the directors present

iv. Not include defamatory or irrelevant matters



RESOLUTIONS

A resolution is a formal expression of a decision or an extract of the minutes of a meeting. Can also be called the summary of the minutes

A resolution must be dated, signed by at least two directors or secretary and registered by the Registrar of Companies within 30 days after it's passed

Section 147 provides for circulation of members' resolution and related particulars

Types of resolutions

There are 3 types;

- i. Ordinary resolution
- ii. Special resolution
- iii. Resolution requiring special notice

1. Ordinary Resolution

It requires a simple majority of the members present at a general meeting.

Total votes in favour must exceed the votes against the resolution.

Votes may be cast by show of hands or on a poll with notice of the meeting given to the members

Resolution to operate a bank account or a change of signatories may be by ordinary board resolution

Upon its registration with the Registrar of Companies, the Bank cannot refuse to act upon it. **In *Banex Ltd v. Gold Trust Bank Ltd (1994)***, Platt

JSC held that the re-organization of the company was an internal matter and the



Respondent bank should have only looked at the resolution which had been duly registered with the Registrar of Companies.

Decision making in an ordinary resolution

- Issue of shares at a discount
- Adoption of the statutory report
- Adoption of annual accounts
- Appointment of auditors and fixing their remuneration
- Appointment of directors at the Annual General Meeting
- Variation in the number of directors of the company
- Declaration of dividends and issue of bonus
- Authorizing voluntary and affixing remuneration of liquidators

2. Special Resolution

Provided under **section 148(1)** It requires at least $\frac{3}{4}$ of the members present and entitled to vote in a special resolution

Decision which require a special resolution relate to the general conduct of the company with its outsiders

Decisions requiring special resolution

- Alteration of the memorandum regarding the registered office and the objects clause
- Alteration of the name of the company
- Alteration of the Articles of Association
- Creation of reserve capital
- Reduction of capital
- Variation in the rights of holders of any class of shares
- Authorizing payment of interest out of share capital

- Declaration of investigation into the company affairs



- Authorizing voluntary winding up of the company

Resolution Requiring Special Notice

Provided under **section 149**

Special notice is required under the law or Articles of Association in some instances.

Section 149(1) states that the resolution shall be ineffective unless 21 days' notice is given

Notice of the resolution is to be given at the same time and manner as notice of the meeting

If it's not practicable, notice shall be through in a newspaper of wide circulation

Decision Requiring Special Notice

Appointment as auditor of a person other than a retiring auditor

Resolution at an Annual General Meeting providing that a retiring auditor not be reappointed

Removal of a director before expiry of his term

Appointment of another person as a director in place of a director removed

Appointment as a director of a person other than retiring director

Conclusion

Company meetings are essential to the day to day running of the business



During the meetings, all matters arising are recorded and minutes kept

Once minutes are recorded a resolution which would be filed and registered with the registrar **20** may be extracted



TOPIC 4: Share Capital

A share is a unit of ownership that represents an equal portion of a company's capital.

Section 2 defines a share as share in the share capital of a company and includes stock except where a distinction between stock and shares is expressed or implied.

It entitles the shareholder to an equal claim for the company's profits. The shareholder also has an equal obligation for the company's debts and losses.

A share is a physical or virtual document the company issues and distributes to all its partners. Shares are bought and sold in the stock exchange like the Uganda stock exchange, NSE, BSE.

Ownership of shares in a company entitles the shareholder to information about the company. Shares normally have a nominal or per value. This is the shareholder's limit to contribute to the company on an insolvent liquidation.

Companies raise capital for their business ventures through debt or equity and many companies have different classes of shares. Shares confer a number of rights on the shareholder. Namely; Voting rights, Rights to dividends, Rights to any return of capital The total number of shares issued in a company represents its capital.

Types/Classes of Shares

Ordinary Shares, Preference Shares, Redeemable shares, Founders or Deferred Shares

Ordinary Shares

These are the most common type of shares. They are standard shares with no special rights or restrictions. They have a potential to give the highest financial gains. They also carry the highest risk. These are the last paid if a company is wound up.

Most companies have just ordinary shares. They carry one vote per share, are entitled to participate equally in dividends and, if the company is wound up, share in the proceeds of the company's assets after all the debts have been paid.

Preference Shares

These give the holder preferential treatment when annual dividends are distributed to shareholders. Dividends are first paid to preference share shareholder before ordinary shareholders.

In the event of a company bankruptcy, preferred share shareholders have a right to be paid from the company assets first. Preference shares typically pay a fixed dividend, whereas ordinary shares do not. And unlike common shareholders, preference share shareholders usually do not have voting rights. The dividend may be cumulative (i.e. if not paid one year then accumulates to the next year) or non-cumulative. The presumption is that it is cumulative.

Redeemable shares

These are shares issued on terms that the company will, or may, buy them back at some future date. The date may be fixed (e.g. that the shares will be redeemed five years after they are

issued) or at the directors' discretion. The redemption price is often the same as the issue price, but need not be. This can be a way of making a clear arrangement with an outside investor. A company cannot issue only redeemable shares.



Founders or Deferred shares

Shares on which no dividend is paid until other classes of shares have received a minimum dividend. Thereafter they will usually be fully participating. It is a class of share that does not have any rights to the assets of a company undergoing bankruptcy until all common and preferred shareholders are paid. No longer commonly used, these shares provided its holders with large dividend payouts only after all other classes of shareholders are paid.

Provision is usually made in the articles to the effect that profits which remain undistributed after the preferential and ordinary shares have received dividends at fixed rates shall be divided among the ordinary and deferred shareholders.

These shares are normally held by the promoters and directors of the company or vendors who have sold their business to the company. Such people have a direct interest in the success of the company. The greater the profits the higher their entitlement to dividends will be

Allotment of shares:

Private companies

This is the process through which a potential shareholder/subscriber is given the number of shares he has successfully applied for. Private companies restrict the issuance of shares to the public under **Section 5 (1)(a)**.

A private company must restrict the transferability of its shares in its articles of association.

Public companies

Allotment is the process through which shares are distributed to successful applicants.



A company is not allowed to transfer the shares after its first allotment unless the minimum subscription, requirements have been satisfied.

There must be enough working capital for the day running of the business.

Share certificates

A share certificate is a document which shows one's ownership of shares in a company.

Section 92 states that the share certificate shall be prima facie evidence of title of the member to the shares.

Section 91 provides for the issuance of share certificates within 60 days after the allotment.

Section 91(3) imposes a fine of twenty-five currency points on the company and officers in case of default.

The aggrieved allottee can serve the company with a note to give him his certificate.

Legal effects of share certificates.

Section 92. It's prima facie evidence of ownership of shares. It estops the company from denying the grant of the shares.

It estops the company from denying the payment of the shares as stated in the certificate.

Share warrant

Can be issued in place of a share certificate.

Section 2 defines a share warrant according to **section 95(2)**.



Section 95 authorizes a company limited by shares to issue a warrant in respect of fully paid up shares.

Advantage of a warrant over a share certificate.

A warrant is a share warrant that the bearer is the owner of the shares indicated while a share certificate is prima facie evidence that the holder is the owner of shares.

Capital and Dividends

A dividend is usually a cash payment paid to the shareholders. It's a portion of corporate profits paid out to stockholders. A dividend is allocated as a fixed amount per share, with shareholders receiving a dividend in proportion to their shareholding.

"The ordinary meaning of 'dividend' is a share of profits, whether at a fixed rate or otherwise, allocated to the holders of shares in a company." Halsbury's Laws of England (Volume 7(1) at paragraph 717). The profits of a company belong to the company and not to its shareholders. Profits may be distributed to shareholders by way of a dividend declared by the company's directors. Once declared, the dividend becomes a debt of the company owed to all shareholders entitled to share in the dividend. **In Northern Ontario Power Co., Re, [1954] 1**

D.L.R. 627, the Ontario Supreme Court characterized the right to receive dividends as a contractual right. The Corporations' profit can either be re-invested in the business (retained earnings) or be distributed to shareholders through cash or share repurchases.

The doctrine of maintenance of capital: English law has developed the

doctrine of capital maintenance with the aim of ensuring that a company with a share capital must obtain proper consideration for the shares that it issues and must not return funds so received to its members, except in certain circumstances.



The doctrine of maintenance of capital underpins the legal rules in the following important areas: payment of dividends or other distributions to shareholders; reduction of a company's share capital and/or reserves; prohibition on the provision by a company of financial assistance for the purchase of its own shares.

Fundamentally, at common law, the decision as to whether or not the payment of dividends is appropriate falls to the discretion of the directors, subject to any restrictions found in the company's constitutional documents.

In Makidayo Oneka vs Wines and Spirits Ltd and Anor (1974) Court held that unless the articles and terms of issue of shares confer a right upon a shareholder to compel a company to pay a dividend, the directors have the discretion to recommend to a general meeting that a dividend be declared.

The overriding principles with respect to the payment of dividends under the common law are that they are to be paid out of profits and that a company cannot declare and pay a dividend if it would result in the company being unable to pay its debts as they become due.

Whether or not a company may pay a dividend depends on whether the amount to be paid comes out of the “profits” or out of the “capital” of the company. The courts have drawn this distinction as they perceived that creditors extended credit to corporations on the implicit condition that a corporation would not return capital to their shareholders.

Accordingly, a dividend could only properly be paid out of “profits” of the company. Determining whether a payment is made out of the capital or profits of the company has proven difficult for the courts. The “reckoning of profits” has been left, by design, to the commercial world, as opposed to

being a process set by legislatures and courts (**Lee v. Neuchatel Asphalte Co. (1889), 41 Ch.1 (C.A.) at 21**). Gower, in his text *The Principles of Modern Company Law* (Second Ed., Stevens & Sons, 1957) states (at 110), "...the courts have consistently



stressed that the golden rule is that the question of what are profits is one of fact for business men rather than one of law for judges. “

Dividends are normally declared at the company's general meeting.

Importance of dividends

Attractive returns. Companies that pay dividends are usually historically stable. Less volatility- dividends help lessen the potential fall of a company's stock price. Increased yield- dividends provide income Favourable tax treatment.

Legal rules relating to dividends

Dividends shouldn't be paid if the company will consequently be unable to pay its debts. It's permissible to pay dividends out of profits without making up losses on fixed capital. Losses of previous years need not be made good before payment of a dividend.

Profits of previous years may be distributed by way of dividend from a reserve fund. A profit made on the sale of a company's fixed assets can be distributed to members by way of dividend.

Categories of Share Capital

Authorized, Restricted, Nominal, paid up, Issued Capital. Unissued share capital Share capital can be divided into nominal, paid-up, reserve and issued capital.

Authorized shares are the total number of shares of stock authorized when the company was created. Only a vote by the shareholders can increase this number of shares.

Nominal capital must exist first before a company is registered. This is also

called start-up capital. This is usually shown in the company's nominal statement.



The capital can be divided, depending on each shareholder's contribution in a company limited by shares. Companies limited by shares have paid-up capital.

Paid-up capital arises when members pay for the shares issued out by the company. Issued capital is the amount capital the company issues out.

Raising of Share Capital

This can be one of the most difficult tasks of a company executive. It can be intimidating, energy draining and time consuming. It can however also provide critical fuel for continued creation when the learning curve is gained.

Ways of Raising Share Capital

1. Selling Common stock

A company can raise capital by issuing common stock if it's in good financial health. Investment banks help companies issue stock and agree to buy new shares issued at a set price if the public refuses to buy stock at a certain minimum price.

Investors are attracted to stocks in two ways. Some companies pay large dividends, offering investors a steady income. But others pay little or no dividends, hoping instead to attract shareholders by improving corporate profitability -- and hence, the value of the shares themselves. In general, the value of shares increases as investors come to expect corporate earnings to rise.

2. Borrowing

Government, local authorities, local development agencies and

international organisations are the major sources of grants and soft loans. Grants are normally made to facilitate the purchase of assets, generation of jobs or training employees. Soft loans are normally subsidized by the third party. Companies can



also raise short term capital by getting loans from banks and lenders usually to finance inventories.

3. Selling Bonds

A bond is a written promise to pay back a specific amount of money at a certain date or dates in future. Bondholders receive interest payments at fixed rates on specific dates. Holders can sell bonds to someone else before they are due. Bonds are advantageous due to the low interest rate which is also considered as a tax- deductible business expense.

4. Issuance of Preferred Stock

Buyers of this stock have special status in case the company faces financial trouble.

5. Profits

Companies can finance their operations by retaining their earnings. There are varying techniques used. For example, electric, gas and other utilities corporations pay out most of their profits as dividends to shareholders. Others distribute 50% of earnings in dividends and keep the rest for expansion and operation. However, small corporations re-invest their net income in research, expansion.

Share Capital

Maintenance of Share Capital

This doctrine of maintenance of share capital is designed to protect the company's creditor.

Case: Re exchange Banking Co (1882) Jessel MR: stated that, the creditor

gives credit to the company on the faith of the representation that the capital shall be



applied for purposes of the business. The creditor has a right to say that the corporation shall keep its capital and not return it to the shareholders.

A company is expected to be active, therefore the share capital cannot be kept docile. The company must regulate the use of its share capital

Outcomes of maintaining share capital

Dividends paid to shareholders may only be paid out of a company's profit. Capital invested by shareholders cannot be returned to them except in these cases:

- 1) capital can be returned to the shareholders under the Companies Act with Court's approval.
- 2) The company is put into liquidation
- 3) The company redeems/purchases its own shares.

6. Debentures

A Debenture is a paper/ document indicating an indebtedness of some kind of permanence of the company.

A debenture is a document that either creates a debt or acknowledges it, and it is a debt without collateral. In corporate finance, the term is used for a medium- to long-term debt instrument used by large companies to borrow money. In some countries the term is used interchangeably with bond, loan stock or note. A debenture is thus like a certificate of loan or a loan bond evidencing the fact that the company is liable to pay a specified amount with interest and although the money raised by the debentures becomes a part of the company's capital structure, it does not become share capital.

Section 2 defines a debenture to include debenture, stock, bonds and any other securities of a company whether a charge on the company assets or not.



Section 98 provides for a register of debenture.

A private company may create debenture stock since it's not allowed to raise money by borrowing from the public.

A debenture stock is a loan fund created by the company. It is a type of stock that makes fixed payments at scheduled intervals of time. Debenture stock differs from a debenture in that it has the status of equity, not debt, in liquidation.

Shares can be issued at premium, nominal and discount levels

Section 66 provides for the issuance of shares at a premium.

Premium is a term used when a company issues shares of its stock at price above its par value. The excess cash, or premium received by the company is placed in a shared premium account and can be used to pay up unissued shares for distribution as bonus shares; to pay a premium on the redemption of preferred stock; writing down company expenses or expenses incurred in the issuance of the shares.

Section 67 authorizes the company to issue shares at a discount when

The issue of shares at a discount has been authorized/passed in a general meeting and sanctioned by court. The resolution must specify the maximum rate of the discount at which the shares will be issued

Not less than one year must at the date of issue have elapsed since the date on which the company was entitled to commence business.

The shares to be issued at a discount must be issued within one month

after the date on which the issue is sanctioned by court or within such extended time as the court may allow.



A company which has agreed to issue shares at a discount must apply to court for an order sanctioning the issue **under section 67 (2)**

Section 68 provides for the company's power to issue redeemable preference shares. It is however vital to issue a member with a share certificate.

Transfer and Transmission of Shares

Transfer of shares is a means of transferring the ownership rights from one person to another. It is a voluntary act of the members. Shareholders have the ability to transfer their shares to existing shareholders or third parties. This allows shareholders to sell their shares or for companies to be bought and sold.

Transfer and transmission of shares is based on the type of the company. Public companies can transfer shares among themselves and also to members of the public. Private companies are prohibited from transferring shares to the public.

In a Private Limited Company, Directors have right to refuse any transfer of shares once the reasons are in the best interests of the company and are not oppressing any shareholder rights.

The transferee should have proper instrument of transfer, this has to be registered under **section 85**.

Most companies regulate the procedure of transfer and transmission through the articles of association

Case: Re Smith Vs Fawcett Ltd (1942) The company's articles of association gave the directors

uncontrolled discretion to refuse to register any transfer of shares. The

company had two directors and two shareholders, Smith and Fawcett. Fawcett died and Smith and the new director refused to register a transfer of his shares. **Held:** Lord Greene where articles confer on the directors a discretion to refuse to



register a transfer, they must exercise their powers *bonafide* but subject to this qualification, they must be given absolute discretion.

Case: Simm Vs Anglo American Telegraph Co. (1879) Court stated that a certificate issued due to registration of a forged transfer means that no estoppel arises against the company in favour of the person who submitted the transfer for registration.

Financial assistance

It is unlawful for a company to assist anybody to purchase its shares. It's like a donation. It reduces the share capital.

However, this isn't applicable where: -

The company lends money as part of its business.

The company subscribes for its shares so as to help its employees.

Any security for a mortgage for a loan isn't recoverable in such instances. The money lenders cannot sue for the loan

Company repurchasing its own shares

Case: Trevor Vs Whitworth (1887) **Facts:** During winding up, a shareholder claimed the balance of the principal for fully paid up shares he had sold to the company before winding up. **Held:** It was *ultravires* for a company to purchase its own shares albeit the memorandum gives authority to do so.

The transaction is also objectionable on the following grounds:

The value of the remaining shares is curtailed if the company paid more than the actual value of shares.

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The company is adversely affected if it repaid the principal on the stock exchange.

Repurchasing is different from forfeiture or surrender.

Lien on shares

A lien is a right to retain possession of anything until a claim is satisfied

A company lien on a share means that a member won't be allowed to transfer his shares until he pays the company debt. Articles provide that the company shall have a first lien on each member's shares for his debts and liabilities to the company.

The right of lien isn't inherent. It must be provided in the articles. The company may have lien on fully paid up shares, dividend payable on the shares, unpaid calls.

Surrender of shares

- Shares are surrendered when they are voluntarily given up.
- A company may authorize its directors to accept a surrender of shares.
- The surrender is valid when the shareholder is willing to surrender.
- The surrender should be done to relieve the company from the formality of forfeiture.
- Surrender and forfeiture have the same effect.
- Only difference is that surrender is done with the shareholder's consent.
- Forfeiture is however done at the company's instance.
- A surrender of shares will be void, if it amounts to a purchase of shares by the company.
- Surrender will be void if its intended to relive a member of his liabilities.
- Every surrender of shares involves a reduction of capital which

is unlawful except when

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- sanctioned by leave of court.
- A valid surrender of shares makes a person cease to be liable for contribution as a past
- member if the company wound up 12 months after his surrender.
- Validity surrender shares can be reissued in the same way as forfeited shares

Forfeiture of shares

A company can only forfeit shares if its articles provide for it.

The directors may forfeit than shares of a shareholder who fails to pay the amount due on any call if this is authorized by the articles. Shares can only be forfeited for nonpayment of calls it's illegal to attempt to forfeit

A person whose shares have been forfeited ceases to be a member in respect of those shares. The right to forfeit shares must be pursued with the greatest exactness. The provisions of the must be strictly followed.

Forfeiture must be by properly appointed directors at a meeting with quorum. Any irregularity in the process makes the forfeiture illegal.

Pre-requisites of forfeiture

The shareholder must be given notice requiring him to pay the money due on call with interest.

The notice must specify a date, not being earlier than the expiry of 14 days from the date of service of notice on or before which payment is to be made.

It must also state the date on which the share will be liable for forfeiture in event of nonpayment. There must be a proper board resolution. The power

of forfeiture must be exercised bonafide and for the company's benefit.



Forfeited shares become company property. It involves a reduction of company capital. The forfeited shares may be sold for any price they fetch even a discount

Debenture and debenture stock

Debentures are usually offered in issues under an indenture.

An indenture is a document which sets out the terms of the exchange.

A debenture is a bearer interest. Shows the company's liability for a sum of money at a certain interest. A debenture is a document which either creates a debt or acknowledges it without collateral.

It's a medium or long term debt instrument companies use to borrow money. Money raised through debentures becomes company capital and not share capital

Debenture holders can freely transfer their debenture stock to other parties. However, they can't vote during company general meetings. Every company can convert its debentures into equity shares

Convertible bonds have lower interest rates than non-convertible corporate bonds. Debentures can be convertible or non-convertible.

Fixed and floating charges

Fixed and floating charges are used to secure the company's borrowing.

Section 2 defines a charge as a form of security for payment of a debt, performance of an obligation consisting of the creditor's right to receive payment out of some specific fund or out of the proceeds of the realization of specific property including a mortgage. **Section 105** provides for the

registration of charges with the registrar.

Section 106 imposes a duty on the company to register the charges it creates.



A floating charge is a type of security only available to companies. It's an equitable charge on the company's present and future assets. It allows the company to borrow through it has no specific assets

Conclusion

The raising of capital has a direct impact on the value of shares due to the laws of demand and supply. The doctrine of raising and maintaining capital is essential to the management of a company. Share capital is vital for a company's finances

It promotes the capital maintenance doctrine by securing the company's distributable profits.



TOPIC 5: RELATIONSHIP BETWEEN A COMPANY AND SHAREHOLDERS MEMBERS

Introduction

Section 47 Companies' Act defines a member

A member of the company appears on the register of members provided under

section 119.

A person can become a member through subscription, purchase, allotment, transmission or by estoppel. One ceases to be a member upon transfer, forfeiture, surrender, sale, allotment, winding up.

Members must agree in writing to be entered in the register of members with exception to the subscribers to the memorandum. A person can become a member without being a shareholder through; Companies limited by guarantee or unlimited companies have members but not shareholders as they have no shares

A deceased member continues to be a member although he is not considered a shareholder

A transferor of shares is a member before his name is removed from the register. Subscribers to the memorandum can be members before allotment

Modes of becoming a member

- By subscription to the memorandum under section 8 (1).
- By agreeing to purchase shares.
- By allotment.

- Through transfer. This must be in accordance with the Articles of Association.
- Through transmission.



- By estoppel.

Register of members

Every company must keep a register of members under section 119. It must contain;

- The name, address and occupation of each member
- Shares held by each member if the company has its share capital.
- Date on which each person was entered in the register.
- Date on which any person ceased to be a member.
- Amount of stock by each member, if shares were converted to stock.

Rights of members

- Right to obtain copies of company documents (articles memorandum of association, resolutions, agreements).
- Right to a share certificate.
- Right to transfer shares.
- Right to seek redress when his/her name is not registered.
- Right to inspect the register/minute.
- Right to demand a poll.
- Entitled to receive notice of meetings.
- Entitled to participate in company proceedings, appointment of auditors, directors, declaration of dividends, passing special resolution for winding up

Liability of members

- Liability of members depends on the type of company.
- Members are fully liable in an unlimited company.
- Liability of members is limited to the amount on unpaid shares

for a company limited by shares.



- Members of a company limited by guarantee are liable to such a mount as they took to contribute in the event of its being wound up.

Termination of membership

- A person ceases to be a member upon;
- Transfer of shares
- Forfeiture of shares on account of non-payment
- Surrender of shares
- Sale of shares by the company or in execution of a decree
- Allotment by the articles
- Death of a shareholder
- Redemption of redeemable shares
- Conversion of share certificate into share warrant
- Winding up of a company

Conclusion

Members of a company are persons who have agreed to become members and whose names appear on the register of members.

Members are entitled to certain rights and are also liable in the event of winding up, however the liability depends **on** the type of company.

TOPIC 6: WINDING UP OF A COMPANY

1. Definition

2. Types of Winding Up

3. Effects of Winding Up

DEFINITION and

INTRODUCTION

Winding up is the process by which the normal activities of the corporation or association of person is stopped and the assets and liabilities of the association is assessed and distributed among the shareholders as per the existing agreement.

Winding up is the process through which the company becomes non-existent. It's the process through which a company's life is extinguished.

On winding up, the organization ceases to be a going concern. The owners are eligible to get the share of residual property and may be required to compensate in the event the assets are insufficient and the existing agreement so specifies.

Winding up is regulated by the Companies Act, 2012 and the Insolvency Act, 2011. Winding up can be voluntary or compulsory by the courts of law

A liquidator is appointed to control the company, collect its assets, pay debts and distribute the surplus among members according to their rights

After winding up, the company's name is struck off the register. Liquidation is the normal means in which a company's existence is brought

to an end.

Only a limited company can be wound up.



Winding Up

Types of Winding up

- Winding By court
- Voluntary Winding up
- Winding up Subject to the supervision of the court

Winding up by the Court

Grounds for winding up by the Court

A company may be wound up by the court in the following circumstances

1. Where the company has passed a special resolution that it be wound up by the court
2. Where default is made in delivering the statutory report to the Registrar or in holding the statutory meeting. Only in public companies. The court has a discretion to order that the report be submitted or the meeting be held
3. If the company does not commence its business within a year from incorporation or suspends its business for a whole year. The order will only be granted if there is no intention to carry on business.

Similarly, the order will not be granted where the omission is temporary or the company was prevented by circumstances beyond its control.

In the same way, if a company intends to carry on business in Uganda and abroad, it will not

be wound up on this ground if it carries on business abroad but not in Uganda, so long as it intends to do so as soon as practicable.

4. Where the number of members is reduced to below legal minimum: i.e. two for private company and seven for public company.



5. Where the company is unable to pay its debt. E.g. where the company has failed to satisfy an execution issued against it. Or where it is clear that the company cannot pay its debts considering its contingent and prospective liabilities. ***In RE: MEDIPHARM PUBLICATIONS (NIG) LTD***, a petition was lodged asking the court to wind up the company. It was shown that the company was destitute, having a nominal capital of £100 which had since been expended. Additionally, it had no assets and could not meet its routine obligations. It had only about £3 in the Bank and a cheque for £100 was dishonored. The winding up order was granted.

Points to Note

1. The demand for payment of the debt is crucial for determining whether a company is unable to pay its debts or not. ***In Re Capital Annuities Ltd [1979]3 All E R 704*** it was held that the mere fact that for a period a company does not have sufficient money to pay its debts did not give rise to an order for winding up, since demand for payment of the debt had not been made. This is because having insufficient money to pay a debt does not constitute inability to discharge the debt.

2. A company will not be regarded as having neglected to pay its debts if it bona fide disputes the debt. The rationale is that great damage can be done to a serious company by a winding up order presented by an unreasonable creditor whose debt the company is able and willing to pay if established to be existing. ***In Re: Paper Conversion Co Ltd 1972 NCLR 391*** the petitioner instituted an action against the company to recover a sum of money. While the action was still going on in court, he also petitioned for the winding up of the company on the

3. A Contributory

This refers to a person who is liable to contribute to the assets of the company in the event of its being wound up.



A contributory must have been a shareholder for at least 6 months during the 18 months before the commencement of the winding up.

On petitioning, he must show that there will be assets available for distribution among the shareholders and creditors and that he has an interest in the winding up.

Procedure for Winding Up

A petition is presented to court. Following presentation of the petition, an application can be made to the court for appointment of a liquidator, (the official receiver), especially if the company assets are in jeopardy. (**The official receiver** is a person attached to court to be involved in the management of property of a company in liquidation proceedings for and on behalf of the court).

The provisional liquidator controls the assets of the company and after his appointment; no legal proceedings can be commenced or continued against the company without court's permission.

Similarly, any disposition of the company's property or transfer of shares is void unless the court otherwise directs. Further, any attachment, sequestration, distress or execution lodged against the assets of the company is void unless with the leave of the court.

Consequences of a Winding up Order

1. No legal proceedings can be instituted against the company without court's permission.
2. The company director's power of management cease upon the appointment of a liquidator although they may appeal in the company's

names against the winding up order.

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3. The directors and company employees are dismissed though they may be re-employed by the liquidator.
4. All the company's business letters, invoices and orders for goods must bear the statement that the company is in liquidation.

Proceedings after Issue of a Winding up Order

1. People who were directors of the company at the date of issue of the winding up order are required to deliver a statement of affairs of the company within 14 days after the appointment of the provisional liquidator who then makes a report. The statement shows all the assets, debts and liabilities of the company, as well as the details of the creditors.
2. The official receiver is then supposed, on receipt of the above report, to submit a report to court showing the amount of capital issued, subscribed, paid up and estimated amount of assets and liabilities, the cause of the company's failure – whether further inquiry is required with regard to promotion or formation of the company or its failure to conduct business.
3. The official receiver also calls for separate meetings of creditors and contributories and informs them of the statement of affairs of the company, the cause of its failure and any other observations. The aim of the meetings is to decide whether to make an application to court for the appointment of a liquidator in the place of the official receiver.

Appointment of a Liquidator

He may be appointed by court after the meetings of creditors and contributories. Where the 2 meetings fail to appoint a liquidator, court decides. Where court does not appoint a liquidator, the official receiver continues as the liquidator. Where the person other than the official

receiver becomes a liquidator, he must notify the company registrar of the appointment.



Company Property after Winding up

Following the issue of a winding up order, the liquidator is required to have control of the company property if the court so decides.

Court can also order the transfer of the company's property in the custody of any shareholder, agent, officer or trustee of the company to the liquidator.

Court can also examine on oath for purposes of discovering the company's assets: Any officer of the company

A person known or suspected to have in his possession any property of the company. A person who is supposed to be indebted to the company.

Any person whom the court deems capable of giving any information as to the promotion, formation, trade dealings, affairs or property of the company.

Protection of Company Property

During the course of winding up, the liquidator may be enabled to avoid certain payments and securities effected by the company before the commencement of the winding up.

1. Floating Charge

A floating charge created within 12 months of the commencement of winding up on the company's property is invalid.

2. Fraudulent Trading

If in the course of winding up it appears that the company's business has been carried on with intent to defraud creditors or for any other fraudulent purpose, the court may order that any person knowing of this shall be

personally responsible for the debts of the company without limitation of liability.



3. Misbehaviour

Where during the course of winding up it appears that any person has misapplied or retained any money or property of the company or has been guilty of any misbehaviour or breach of trust, the court may examine such person's conduct and order him to repay, with interest, the money used. E.g. where a promoter has made secret profits.

4. Disclaimer

Where any of the company's property consists of land burdened with unprofitable contracts or covenants, the liquidator may disclaim (abandon) in writing the property within 12 months of the commencement of winding up or within 12 months of his becoming aware of such property.

A person who is interested in the property can give a written notice to the liquidator requiring him to decide on the disclaimer. A person who is injured as a result of the disclaimer is deemed to be a creditor of the company with respect to the amount of injury and he may prove the amount as a debt in the winding up.

5. Fraudulent Preferences

Any payment or disposition of property made to a creditor before the commencement of winding up will be invalid if the main intention of the company in making it was to prefer the creditor over other creditors.

Priority of Payment of Debts on Winding Up

The assets of the company should be applied in the following order to settle any claims or debts:

1. First, to meet the costs, charges and expenses of winding up,

including payment of the liquidator for his services.



2. To extinguish claims of preferred creditors.
3. To discharge the debts of ordinary creditors
4. To meet the claims of deferred creditors.

The Liquidator

Any person except a body corporate may be appointed a liquidator. The appointees are usually accountants of not less than 5 years of standing.

A liquidator is appointed for the purpose of conducting the proceedings in winding up of a company and performing such duties in reference to the winding up as court may order. Eg taking into custody or control the company's property, collecting the company's assets, paying debts and distributing the surplus among the members according to their rights, etc.

Completion of winding up process by court

When the affairs of the company have been completely wound up, the court on application of the liquidator makes an order dissolving the company. The liquidator is to within 14 days from the dissolution order send a copy of the order to the registrar who registers it in the company registry or who strikes the name off the registry.

VOLUNTARY WINDING UP

A Company may be voluntarily wound up by the members of the company without involving court, in the following instances,

1. If the company resolves by special resolution that it should be wound up voluntarily.

2. If the company resolves by extra ordinary resolution that it cannot by reason of its liabilities continue its business or that it is advisable to wind up.



3. When the period if any, fixed for the duration of the company in its articles expires or where the event occurs which the articles provide shall be a ground for dissolution and the company passes an ordinary resolution requiring the company to be wound up voluntarily

PROCEDURE FOR VOLUNTARY WINDING UP

A. Where the Initiation is by the Company Members

1. Within 5 weeks before the passing of a winding up resolution, the directors of the company must make a statutory declaration that they have made full inquiry of the company's affairs and have formed the opinion that the company will be able to pay its debts within a period not exceeding 12 months from the commencement of the winding up. A director who makes this declaration when it is false is liable to criminal sanction.
2. Members pass and file a special resolution that the company should be wound up. Once this is done, it means that winding up proceedings have commenced.
3. The company is to within 14 days of passing the resolution give notice of the resolution by advertisement in the gazette and in the newspapers. If default is made in not advertising as stated, the company and each officer involved will be liable to a fine.
4. Members appoint a liquidator and file a declaration of solvency stating that the company will be liable to pay its debts within 12 months from the commencement of the winding up.
5. The notice of the appointment of the liquidator is to within 14 days of appointment be published in the gazette and newspapers and notified the company registrar.
6. The Liquidator's remuneration is fixed by the meeting at which he is

appointed and the effect of appointing a liquidator is that all the powers



- of the directors cease except where they are allowed to continue with the permission of the general meeting and the liquidator.
7. Court has the power to appoint a liquidator where none has been appointed or where the company fails to appoint in time.
 8. Upon completion of winding up, the liquidator must after giving one month's notice in the gazette and newspaper where the meeting is going to be held, summon a general meeting of the company so that he can present an account of the winding up and how the property has been disposed of.
 9. A copy of the account and return in respect of the meeting must be forwarded to the registrar of companies within 2 weeks of the meeting.
 10. The company is automatically dissolved three months after the registrar has registered the return, unless the court on application of an interested person makes an order deferring the dissolution.

B. Where the initiation is by the creditors of the company

The company is required to summon a meeting of its creditors fixed for the day on which the resolution for winding up is to be proposed. The notice is advertised in the newspaper and the gazette.

At the meeting, a full statement by the directors of the position of the company's affairs together with a list of the company's creditors and the estimated amount of their claim is presented. The liquidator is also appointed at the meeting and a committee of inspection.

On completion of the winding up, the liquidator gives one month's notice in the newspapers and gazette and calls a final meeting of the company and the creditors and presents his account.

Within one week of the meeting, the liquidator sends his account to the registrar. The company is deemed dissolved automatically 3 months after registration by the registrar of the account and return relating to the winding up.



EFFECT OF VOLUNTARY WINDING UP

The company ceases to carry on its business except in so far as may be required by the beneficial winding up of the company. The corporate state of the company continues until it is dissolved.

Any transfer of shares that is not made without the authority of the liquidator or any alteration in the status of the members of the company is void, as long as it is made after the commencement of winding up.

The assets of the company are applied in satisfaction of its liabilities in pari passu and are distributed among the members according to their rights and interests.

WINDING UP SUBJECT TO COURT'S SUPERVISION

Upon petition, the court may order a voluntary winding up to continue subject to Court's supervision. A petition for winding up subject to supervision of court is deemed to be a petition for compulsory winding up. Accordingly, the law on winding up by court applies.

TOPIC 7: CAPITAL MARKET

COLLECTIVE INVESTMENT

SCHEMES CAPITAL MARKET

Nature of Capital Market

Capital markets are similar to other markets such as *Nakasero market* but differ in terms of the products traded and their organisation. Capital markets deal with the trading of financial products such as company shares, bonds issued by governments or private companies, units in Collective Investment Schemes, debentures, commercial paper and notes.

These financial products can also be referred to as securities and are generally traded on a stock (securities) exchange.

Capital markets are an arena – an arena in which businesses that need an injection of cash seek out investors. Investors, meanwhile, are on the lookout for profitable businesses in which they can grow their investment.

In Uganda, the market where these securities are traded is called the Uganda Securities Exchange.

Classifications of Markets

1. Primary Market

This refers to the market in which a company offers its shares to members of the public for the first time. It is also known as an Initial Public Offering (IPO). To buy shares during the IPO, a Share Application Form (SAF) is obtained from participating broker/dealers and authorised selling agents, which is completed by the prospective investor.

The SAF is then sent to the Lead Broker and Registrar for processing, and the share allocation is made. Once payment is made, a receipt is issued to the purchaser.

If the offer is over-subscribed (applications exceeding the number of shares available), the shares available are divided among applicants according to the allotment criteria and the investor then receives a refund for the shares paid for, but not allocated.

The Registrar then sends share certificates of successful applicants to the participating broker/dealers and authorised selling agents where original SAFs were completed. The investor then receives the share certificate from the participating broker/dealers or authorised selling agents.

Secondary Market

This is the market in which the shares of a company are listed on the stock exchange. At the secondary market, shares can only be bought through a licensed broker/dealer that is a firm that buys and sells securities on behalf of investors for a commission or a brokerage fee.

The broker/dealer or investment advisor will provide all the necessary advice, that is, which shares to buy. But the ultimate decision to invest depends on the investor.

To sell shares, an investor needs to contact a broker/dealer and instruct him/her to sell either all or some of his/her shares.

Secondary market trading takes place at the Uganda Securities Exchange (USE) on Mondays, Tuesdays and Thursdays from 10.00am to 12:00p.m. Information about trading on the USE is published in the Monitor and New Vision newspapers.

Capital Market Authority (CMA) issues licenses to qualified firms or persons to transact business on the Exchange or give investment advice. These are known as broker/dealers and investment advisors or fund managers. The list of licensed brokers and all other market players can be obtained from the CMA website. An investor must only deal with licensed professionals.

Equity Capital Market

These are the world's stock markets. Private companies raise money by listing themselves on a stock market and then selling shares in their domestic market and often internationally as well. This is known as a flotation or **IPO** (Initial Public Offering) and means that the company's stock can be bought and sold by investors.

An IPO is a transformational event for a company – it changes from a private affair, run by a small group of shareholders to a public company, subject to significant regulation and to the will of its shareholders. For example, after floating Virgin, Richard Branson found having to run 'his' company in a way that pleased his new institutional shareholders incompatible with his entrepreneurial style of management, so he bought back the company, returning it to private

status.

Debt Capital Market

On the debt capital markets, borrowers/issuers – which can be companies, banks or governments – raise money by selling debt obligations (tradeable loans) to investors. These are called **bonds** and the investor becomes the owner of the bond.

Capital Market

At predetermined intervals, the owner of the bond receives interest payments from the company, which can be at a fixed or floating rate, depending on the terms of the bond.

The perceived credit risk of the bond (which is based broadly on the credit of the issuer, the maturity of the bond, the currency of the bond and any particular features of the bond) determines the interest rate.

When the bond matures (when the duration of the loan expires), the bond owner receives back the bond's initial value, unless the issuer has gone bankrupt or defaulted in some way.

For the investor, the profit on bonds consists of the interest payments they receive and any increase in market value of the bond. If the creditworthiness of the issuer improves, the bonds will typically trade at a price of more than 100% of the issue price. Unless the issuer of the bond has defaulted, or there are specified events in the terms of the bonds, bonds are not usually payable before maturity.

However, an investor can realise his asset by selling in the market (provided of course there are purchasers interested in buying the bond!). Unlike shares, bonds therefore have a secure yield.

Furthermore, bonds guarantee to pay back the initial value of the loan unless the company or government runs out of money.

On an insolvency of the issuer, bondholders are paid with other creditors. Shareholders only receive their share of what (if anything) is left after all other creditors are paid. In normal markets, bonds are less volatile – this was not the case for many bonds during the credit crisis.

Legal and Institutional Frameworks for the Regulation and Operation of Capital Market in

Uganda

In Uganda, capital market is regulated by the Capital Market Authority (CMA). It was established in 1996 following the enactment of the Capital Markets Authority Act (Cap 84). It is a semi-autonomous body responsible for promoting, developing and regulating the capital markets industry in Uganda, with the overall objectives of investor protection and market efficiency.

CMA It approves the offers of all securities to the public, licenses market professionals like broker-dealers, investment advisers and fund managers. It licenses stock exchanges and has so far issued a licence to one stock exchange; the Uganda Securities Exchange. Its overall objectives are market regulation and investor protection

Functions of Capital Market Authority

CMA has a number of functions, these include:

1. The development of all aspects of the capital markets with particular emphasis on the removal of impediments to, and the creation of incentives for longer term investments in productive enterprises.
2. The creation, maintenance and regulation (through implementation of a system in which the markets participants are self-regulatory to the maximum practicable extent) of a market in which securities can be issued and traded in an orderly, fair and efficient manner. (To-date, rules and regulations have been promulgated covering prospectus requirements (A prospectus is a legal document that gives

general information about the company, which is offering its shares to the public. Such information includes the company's history and operations, products and services. It can be a notice, a circular, an



advertisement or any other invitation offering to the public a chance to purchase shares or securities of a company), establishment of Securities Exchanges, conduct of business, advertisements, maintenance of registers of interests in securities, accounting and financial requirements and licensing of market operators. Guidelines for the issuance of corporate bonds and commercial paper have also been published. In addition, documents covering procedures for companies going public and an investor's guide to shares and public flotation have been issued.)

3. The protection of investor interests.
4. The operation of an investor compensation fund (An Investor Compensation Fund (ICF), was established for the purpose of granting compensation to investors who suffer pecuniary loss resulting from the failure of a licensed broker or dealer to meet his contractual obligations. Annual contributions to the fund are made out of the Authority budget and from market practitioners. The aim of the fund is to enhance investor confidence in the newly created markets).
5. In its role as a regulator, the CMA oversees the activities of the Uganda Securities Exchange (USE), licensed intermediaries such as broker/dealers and investment advisors. CMA also regulates the operation of Collective Investment Schemes.

Uganda Securities Exchange (USE)

The Uganda Securities Exchange (USE) was licensed to operate as an approved Stock Exchange in June 1997 by the Capital Markets Authority of Uganda. The members of the Exchange are from the private sector.

The USE began formal trading operations in January 1998 following the listing of its maiden instrument, the East African Development Bank (EADB) Bond. Various securities are currently being traded on the Exchange including the local and cross border listings.



Functions of Uganda Securities Exchange

1. Provision of Facility for Raising Funds

The basic function of USE is to provide a facility for raising funds for investment in long term assets (A stock, bond or other asset that an investor plans to hold for a long period of time).

2. The mobilization of savings

The mobilization of savings for investment in productive enterprises as an alternative to putting savings in bank deposits, purchase of real estate, and outright consumption. It is an addition to the Banking System as it provides more diversity to the already available financial instruments.

3. Improvement of access to finance for new and smaller companies

This is futuristic in most developing countries because venture capital is mostly unavailable. The listing requirements of USE have been specially designed to meet the needs of this sector.

4. Creation of Liquidity

The creation of liquidity – this is the ability of securities to be converted into cash at a market price. Acquiring and selling of shares is fairly simple, inexpensive and swift and can be done at any time to suit the investor's convenience.

5. The growth of the related financial services sector

Institutions like the insurance, pension and provident fund schemes nurture the spirit of savings. USE provides an avenue through which financial securities can be traded by such institutions in order to facilitate their

activities as financial intermediaries.



6. Facilitation of equity financing as opposed to debt financing

Equity financing has a component of flexibility – the company pays holders depending on its performance; whereas debt financing requires that the holder of the security be entitled to a fixed sum in interest disregarding the performance of the company.

7. Divestiture of Government Owned Companies

The USE assists in the divestiture (sale) of government owned companies. The privatization process through capital markets includes the flotation of shares and needs a secondary market for its success. Through this process indigenous people are able to attain a stake in the privatized companies.

8. Price Discovery

Providing a mechanism for price discovery through open market operations at the Exchange. The price at which a deal is made indicates not only the value of the shares in question but also the value the market is willing to pay for the shares in question.

Importance of Capital Markets to Companies

A share issue allows companies to increase the equity base of the company and raise capital without bearing the burden of high interest payments associated with borrowed funds.

Full disclosure requirements of a listing on the Stock Exchange encourage companies to observe good business and management practices and ensure better corporate governance, benefiting not just the firm but the economy as a whole.

The public profile of the company also is improved thus attracting greater

business opportunities.

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COLLECTIVE INVESTMENT SCHEMES

Collective Investment Schemes (CISs) are private financial arrangements that pool resources of many small savers, generating a large pool. The resources are then invested in various assets like shares, bonds, property and treasury bills with the sole purpose of generating high returns while minimizing risk through diversification of investments.

Collective Investment Schemes (CISs) provide a means for mobilisation of savings and enable small investors to participate in capital markets. CISs widen the choice of investment vehicles; involve the public in the process of investing in securities through pooling resources together, which are then invested by professional managers.

Types of Collective Investment Schemes:

1. Unit Trusts: A Unit Trust Scheme is a Fund into which small sums of monies from individual investors are collected to form a “pool” for the purpose of investing in stocks, shares and money market instrument by professional fund managers on behalf of the contributors called unit holders [subscribers].

By investing in a unit trust scheme, the unit holders enjoy the benefits of diversification and professional management of their fund at low cost.

The total fund of a unit trust scheme is divided into units of exactly equal monetary value e.g. If one unit is UGX1000, any person investing UGX100,000 will get 100 units. One's investment is measured by the number of units held. **12**

2. Venture Capital Funds: An investment fund that manages money from investors seeking private equity stakes in start-up and small- and

medium-size enterprises with strong growth potential. These investments are generally characterized as high-risk/high-return opportunities.



Theoretically, venture capital funds give individual investors the ability to get in early at a company's start-up stage or in special situations in which there is opportunity for explosive growth. In the past, venture capital investments were only accessible to professional venture capitalists. While a fund structure diversifies risk, these funds are inherently risky.

3. Open-ended Investment Companies: this is a type of open-ended collective

investment formed as a corporation. As an open-ended company the manager must create shares when money is invested and redeem shares as requested by shareholders. As with other collective investments, the main function is to make money for the shareholders. This is achieved via investing in different asset classes such as equities, fixed-interest investments, and property. By using economies of scale, they facilitate access to professional investment management for small investors.

4. Real Estate Investment Schemes: this is a scheme where a security that sells like a stock on the major exchanges and invests in real estate directly, either through properties or mortgages. REITs receive special tax considerations and typically offer investors high yields, as well as a highly liquid method of investing in real estate.

5. Specialized Funds: A mutual fund investing primarily in the securities of a particular industry, sector, type of security or geographic region. Because of the lack of diversification, specialized funds are higher risk but potentially higher reward than most other types of mutual funds. In Uganda, there is one type of CIS called unit trusts.

Types of Unit Trust

Uganda has three types of unit trust funds in which an investor can invest, each with different requirements; the Balanced Investment Fund; the High Yield Fund and the Money



Fund.

1. The Balanced Fund: this is a long-term fund whose asset allocation is mainly in long term products and securities like bonds, shares, etc. A fund that combines a stock component, a bond component and, sometimes, a money market component, in a single portfolio. Generally, these hybrid funds stick to a relatively fixed mix of stocks and bonds that reflects either a moderate (higher equity component) or conservative (higher fixed-income component) orientation.

A balanced fund is geared toward investors who are looking for a mixture of safety, income and modest capital appreciation. These funds invest both in equity shares and fixed-income bearing instruments (debt) in some proportion. They provide a steady return and reduce the volatility of the fund while providing some upside for capital appreciation. The minimum amount required to invest in this fund is UGX 50,000 only.

2. The High Yield Fund: this is a fund whose asset allocation is in medium- term securities and products (such as note which matures between 5 to 10 years). These funds buy low-rated or even un-rated bonds (aka: 'junk' bonds).

These generally produce high income but carry the high risk usually associated with junk bonds. If a company is in a poor financial position, it will need to offer a relatively high rate of return on its bonds in order to compensate investors for taking on more risk. In fact, the bonds of particularly risky companies have been traditionally referred to as “junk” because they carry a high risk of default.

The minimum amount required to invest in this fund is UShs 50,000 only.

3. The Money Fund: this is a fund which invests in short term products and securities like treasury bills, current accounts, etc. This fund is better suited for people who wish to save money over a short period of time. T-bills are issued through a competitive bidding process at a discount from par, which means that



rather than paying fixed interest payments like conventional bonds, the appreciation of the bond provides the return to the holder.

The minimum amount required to invest in this fund is UShs 250,000 only.

Currently, there is only one licensed unit trust manager; African Alliance Uganda.

Collective Investment Schemes

Benefits of Investing in Unit Trust

Diversification of Risk: Investors can secure a much wider diversification of risk, because these funds usually invest in different investments. Studies show that the greater the diversification of a portfolio, the lower the risk in relation to the return. Those who invest in CISs are therefore seeking to lower risk in relation to their return.

Access to Securities Investments: By investing a small sum (either in a lump sum or on a regular saving basis), an investor through the CIS can achieve a personal portfolio spread over several securities.

Lower Transaction Costs: By investing in a CIS, investors incur lower costs than if they were to buy and sell a portfolio of individual securities directly. This is because transaction costs are generally related to the size of the transaction, and investors benefit from the fund manager's ability to deal in larger quantities of shares at lower average dealing costs. Fund managers can also allocate portfolios more efficiently than can individual investors.

Professional Management: Due to the complexity of analyzing information regarding individual securities, most individuals do not have the professional

skills to manage their own investments. CISs provide full time professional management in a direct and simple form and this is especially important where market information is not widely available.



Investor Protection: CISs have succeeded in developed markets due to an effective legal and regulatory framework. People need to have confidence that their money is protected from fraud, theft and other abuses. The CIS regulations provide the desired regulatory framework that will protect investors.



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